

urgent concern than seeking a profit. When their investments do begin to succeed, loss-averse individuals hasten to lock in profits, fearing that, otherwise, the market might reverse itself and rescind their returns. The problem here is that divesting prematurely to protect gains limits upside potential. In sum, loss aversion causes investors to hold their losing investments and to sell their winning ones, leading to suboptimal portfolio returns.

Technical Description

The technical definition of loss aversion comes from prospect theory, wherein Kahneman and Tversky don't explicitly mention concrete, relative preferences (e.g., "I prefer avoiding a loss to realizing a gain"). Rather, they discuss loss aversion in the context of the S-shaped, utility representative value function that models the entire evaluation stage in prospect theory. According to Kahneman and Tversky, people weigh all potential gains and losses in relation to some benchmark reference point (the point of origin on the graph in Figure 17.1).

The value function that passes through this point is asymmetric; and its profile implies, given the same variation in absolute value, a bigger impact of losses than of gains. The result is that risk-seeking behavior prevails in the domain of losses (below the x axis), while risk-averse behavior prevails in the domain of gains (above the x axis). An important concept embedded

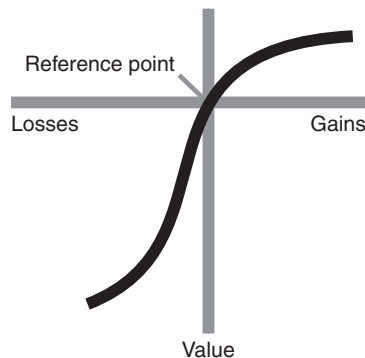


FIGURE 17.1 The Value Function—a Key Tenet of Prospect Theory
Source: The Econometric Society.
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